Larkspur Assurance — Settlement Authority & Payment Controls

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Owner: Claims Director, with Finance Controls

1. Purpose

This document sets out who (or what) may settle a claim, up to what amount, and the controls on every payment. It applies to human handlers and to the Autonomous Claims Agent (ACA). The ACA has no authority beyond what is written here.

2. Authority matrix (travel)

Authority is determined by the net settlement amount for the claim (total payable after limits and excesses across all sections), not by the amount claimed.

Tier	Holder	Settle up to (net, per claim)	May issue partial declines?	May issue full declines?
T0	Autonomous Claims Agent (ACA)	£1,000	Yes — only under Section 4	No
T1	Claims Handler	£5,000	Yes	Yes, up to £5,000 claimed
T2	Senior Claims Handler	£25,000	Yes	Yes, up to £25,000 claimed
T3	Claims Technical Manager	£100,000	Yes	Yes
T4	Claims Director	Unlimited	Yes	Yes

3. Preconditions for autonomous settlement (ACA, Tier T0)

The ACA may settle and pay a claim without human approval only if every condition below is met. If any condition fails, the ACA must REFER to a T1 handler with its Evidence Pack, and must not make any payment.

ID	Condition
P1	Net settlement amount ≤ £1,000.
P2	Policy status is ACTIVE and premium is paid; every incident date falls within the period of insurance.
P3	Claimant is a named insured on the Certificate, and claim notified within 31 days of return (GC.1).

ID	Condition
P4	The governing wording reference and cover level are taken from the Certificate.
P5	Every PAY / PAY_PARTIAL line has all mandatory evidence (CHG-TRV §6). No line is in PEND.
P6	Fraud indicator score < 40 (FRD-03). Scores 25–39 may proceed but must be flagged for post-payment QA sampling.
P7	No Section C in-patient treatment, repatriation, or any Section H / Section I claim.
P8	Payee = policyholder named on the Certificate, and the bank account matches the verified payee account on file in the policy record. Bank details on file must not have been changed in the last 14 days.
P9	Every line outcome cites at least one clause ID and at least one evidence document ID.
P10	Any partial decline satisfies Section 4.

4. Autonomous partial declines

4.1 The ACA may decline individual line items within a claim it otherwise settles, provided all of the following are true:

(a) the declined line is ≤ £1,000 (as claimed);

(b) the decline relies on an Objective Exclusion in Appendix B, or on the absence of cover under the Certificate (e.g. cover level or extension not purchased);

(c) the facts establishing the exclusion come from an evidence source at level 1 or 2 of the hierarchy (CHG-TRV §5), or from the claimant's own written statement, and the decision quotes that evidence verbatim;

(d) at least one other line on the claim is paid.

4.2 A claim where every line would be declined is a full decline and must be referred to T1.

5. Payment controls

5.1 Currency. All payments are in GBP.

5.2 One settlement payment per decision. Each settlement decision produces exactly one payment. Payments must carry an idempotency key equal to {claim_id}-{decision_version} so that retries never pay twice.

5.3 Payment reference shown to the customer: LARKSPUR {claim_id}.

5.4 Single payment cap (ACA): £1,000. Daily aggregate cap (ACA, all claims): £25,000. If either cap would be exceeded, REFER.

5.5 Payee. Pay only to the verified payee account in the policy record (P8). Never pay to an account supplied only on a claim form if it differs from the verified account; in that case REFER.

5.6 Linkage. Every payment record must store the claim ID, decision version, net amount by section, the clause IDs relied on, and the evidence document IDs relied on.

5.7 Kill switch. Claims Operations can suspend ACA payments at any time. When suspended, the ACA must REFER all claims.

5.8 No partial manual overrides. The ACA may not change its own limits, retry a refused payment with different parameters, or split a payment to fit a cap.

Appendix A — Payment rail

Settlement payments are made through the Claims Payments Platform. In non-production environments the platform runs against a payments provider sandbox (test mode). The payment record must be written before the customer letter is issued.

Appendix B — Objective Exclusions (eligible for autonomous partial decline)

Ref	Clause	Description
OE-1	E.4.1	Delayed-baggage purchases made after baggage was returned (time-stamped receipt vs carrier delivery confirmation)
OE-2	E.4.2	Non-essential items under delayed baggage (fashion/luxury/outerwear beyond reasonable need)
OE-3	D.4.4	Gadgets where the Gadget extension is not shown on the Certificate
OE-4	D.4.5 + def. 2.12	Property left unattended in a public place
OE-5	D.4.6	Theft not reported to police within 24 hours
OE-6	C7.2	Non-medical items on pharmacy receipts
OE-7	1.3 / B2.3(b) / C7.4	Costs attributable to persons not named on the Certificate
OE-8	CHG-TRV 7.4	Duplicate receipts (second and later occurrences)
OE-9	E.4.3	Baggage delays on return journey